

Taiwan Energy

2Q NP rises to 5-year high; reiterate full set OW with
NPC > FPC/FCFC > FPCC

Formosa Group reported another quarter of clean beats, with group NP of NT\$64bn reaching the highest in 5 years. Majority of the earnings beat continued to be driven by NPC's electronic materials segment and FPCC's strong refining export margin. FPC also saw OP turn back to black, albeit partly on feedstock lagging effect that is a one-off in nature. Into 3Q, we expect the group's NP to retreat due to FPCC (lower oil price) and FPC (no more lagging benefit), but expect the beat-and-raise trend for Formosa Group to continue over the coming years due to its circular ownership structure and a gradual recovery in chemical spreads.

- NPC: NP rises to new record high, with electronic materials OPM likely >20%.** NPC reported 2Q26 NP of NT\$26.8bn (+88% q/q, turned +ve y/y), a beat vs. JPMe of NT\$20.5bn and consensus of NT\$16.6bn. This was the highest quarterly NP in its history. Electronic material segment was the clear bright spot with >20% q/q revenue growth and OPM likely reaching >20% for the first time since 2021. We attribute the expansion in 2Q OPM vs. 1Q at 13% as a function of the 15% CCL price hike effective mid-Mar and continued utilization ramp across CCL/glass fiber/copper foil/epoxy resin as guided in our recent conference call. The turnaround in chemicals and polyester OP was also a pleasant surprise, though likely included some raw material lag. The solid beat from NYT also contributed NT\$6bn of incremental equity method income q/q. Looking into 2H, we expect the electronic materials segment to continue firing on all cylinders on accelerating price hikes across commodity grade products (Kingboard announced the 6th price hike YTD on 6 Jul, Figure 2), T-glass ramp, and ongoing M10 qualification.
- FPCC: a pleasant beat as elevated export margins offset inventory loss.** FPCC's 2Q26 NP of NT\$21bn (+2% q/q, +377% y/y) strongly beat consensus estimates of NT\$7.5bn, with 1H26 earnings of NT\$51bn now already surpassing the FY BBG consensus at NT\$38bn. OP came in at NT\$23bn, down only NT\$1.6bn q/q despite NT\$>3.6bn negative sequential impact from inventory loss (2Q inventory loss NT\$3.2bn vs. 1Q gain of NT\$0.4bn). While we had expected the OP beat heading into earnings with JPMe >60% above consensus, FPCC strongly beat our expectations with robust operational performance on all fronts with (1) higher than expected refining utilization (66% vs. JPMe 50%); (2) export margin strength (spot Asia GRM +\$16/bbl q/q), and (3) robust olefins spread that contributed q/q profit growth despite 20pct decline in utilization. As we have written extensively, FPCC is able to capitalize on the attractive export margin with 100% self-sufficiency on ships and hence insulating the company from the 3x y/y surge in VLCC rate in 2Q. FPCC exports 80% of diesel and 50% of gasoline. Into 3Q, while we expect a sequential pullback in earnings as regional GRM/olefin spread normalize, this is already well understood by the market. We see risk to the upside on 2H earnings on continued geopolitical uncertainty and Russian capacity outages.
- FPC: core earnings back to black on feedstock lag; >TW\$1bn contribution from US ECC.** FPC's NP came in at NT\$10.6bn (3.2x q/q, turned +ve y/y), a solid beat vs. 2Q/FY26 consensus estimates of NT\$5bn/NT\$8bn. OP reached the highest level since 3Q22 at NT\$2.8bn vs. the >NT\$1bn loss in 1Q. The company attributed the improved margin to its low cost inventory v.s. contract price for ethylene and propene +37%/38% q/q. Another

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bright spot is the strong inflection in US ECC earnings, with FPC USA olefins printing NT\$1.1bn of equity method income (+NT\$0.9bn q/q vs. 1Q at NT\$0.2bn) as US ethane price remained steady while Asia PE spot gained 30% q/q. Given the one-off nature of raw material lagging effect, we expect the majority of the OP gain to fade into 3Q while US ECC margins remain robust in a \$70-\$80/bbbl environment.

- **FCFC: OP down 31% q/q on feedstock shortage.** FCFC reported 2Q NP of NT\$6.1bn (-2% q/q, +189% y/y), with 1H26 NP of NT\$12.3bn representing >100% of FY26 consensus at NT\$11.8bn. The >30% sequential OP decline had already been well anticipated by the market as the company guided 50%/30%/20% run cut on aromatics/PTA/ABS in 2Q due to feedstock sourcing issues, after its upstream naphtha supplier FPCC declared force majeure on 10 Mar. We expect OP recovery into 3Q on upstream supply normalization and robust aromatics spreads (Figure 3).

Figure 1: Formosa Group Quarterly Earnings

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YTD as % of 2Q26 vs BBG			
							bbg FY	cons	Q/Q	Y/Y
FPCC (6505 TT)										
Revenue	173.3	145.5	163.5	143.8	162.0	183.0	50%	8%	13%	26%
OP	3.7	-7.4	9.3	5.3	24.5	22.9	125%	164%	-7%	409%
<i>OPM</i>	<i>2.2%</i>	<i>-5.1%</i>	<i>5.7%</i>	<i>3.7%</i>	<i>15.1%</i>	<i>12.5%</i>				
Net Non-OP	1.1	-2.1	1.4	1.5	1.1	3.1				
Pre-tax	4.8	-9.5	10.7	6.7	25.6	26.0			1%	373%
Net Profit	3.7	-7.5	8.6	5.1	20.4	20.8	107%	364%	2%	377%
EPS	0.39	-0.79	0.90	0.54	2.14	2.18	103%	176%	2%	377%
FPC (1301 TT)										
Revenue	47.2	45.4	41.7	41.1	42.0	47.3	52%	4%	13%	4%
OP	-0.9	-1.6	-2.7	-2.4	-1.3	2.8	NA	10082%	315%	279%
<i>OPM</i>	<i>-1.9%</i>	<i>-3.5%</i>	<i>-6.5%</i>	<i>-5.8%</i>	<i>-3.1%</i>	<i>5.9%</i>				
Net Non-OP	1.0	-5.3	2.1	-0.5	4.7	8.0				
Pre-tax	0.1	-6.9	-0.6	-2.9	3.4	10.8			220%	257%
Net Profit	0.1	-6.6	-0.6	-2.9	3.3	10.6	174%	318%	224%	260%
EPS	0.01	-1.04	-0.09	-0.45	0.51	1.67	198%	120%	224%	260%
FCFC (1326 TT)										
Revenue	78.9	73.5	69.6	65.0	81.7	87.2	54%	11%	7%	19%
OP	-0.4	-2.5	-0.2	-0.2	3.8	2.6	95%	27%	-31%	205%
<i>OPM</i>	<i>-0.6%</i>	<i>-3.4%</i>	<i>-0.3%</i>	<i>-0.3%</i>	<i>4.7%</i>	<i>3.0%</i>				
Net Non-OP	0.0	-4.5	2.5	1.1	3.5	4.4				
Pre-tax	-0.4	-7.1	2.3	0.9	7.3	7.0			-4%	199%
Net Profit	-0.4	-6.8	1.8	1.11	6.2	6.1	104%	283%	-2%	189%
EPS	-0.08	-1.17	0.30	0.19	1.07	1.04	117%	155%	-2%	189%
NPC (1303 TT)										
Revenue	65.6	65.7	64.2	64.5	68.6	83.7	49%	5%	22%	27%
OP	0.0	1.3	1.0	1.3	3.7	11.4	57%	60%	205%	777%
<i>OPM</i>	<i>0.1%</i>	<i>2.0%</i>	<i>1.6%</i>	<i>2.1%</i>	<i>5.5%</i>	<i>13.7%</i>				
Net Non-OP	0.8	-5.5	3.0	4.5	12.3	19.3				
Pre-tax	0.8	-4.2	4.0	5.8	16.1	30.7			91%	832%
Net Profit	0.5	-4.1	3.3	4.9	14.3	26.8	62%	61%	88%	750%
EPS	0.06	-0.52	0.41	0.62	1.80	3.37	61%	61%	88%	750%

Source: Company data, Bloomberg Finance L.P., J.P. Morgan Asia Energy Research

Figure 2: Electronic materials price hike announcements YTD

Date	Company	Announced Pricing adjustment
CCL		
Jan 16th, 2026	Resonac	All CCL +30% for shipments from 1 Mar, 2026 onwards. Prev hike was 10% in Nov 2022 and 15% in Jan 2022
Mar 10th, 2026	Kingboard	+10% price hike across CCL/PP/copper foil processing fee
Mar 16th, 2026	NPC	+15% across CCL products
Apr 3rd, 2026	Kingboard	+10% price hike across CCL/PP products citing raw material price inflation
Apr, 2026	EMC	High-end CCL +10% from 2Q26
Apr, 2026	TUC	+20%-40% for selected CCL products
Apr 9th, 2026	Panasonic	CCL/prepeg/FRP/FPC materials price +15-30% from May 2026
Apr, 2026	ITEQ	High-end CCL +10%
Apr 28th, 2026	Kingboard	+10% price hike on FR4/PP products
May 27th, 2026	Kingboard	+10%/20% price hike on CCL/PP products
Jun 16th, 2026	Kingboard	+15% price hike on FR4/PP products
Jul 6th, 2026	Kingboard	+15% price hike on FR4/PP products (thickness >1.3mm)
Copper Foil		
Aug, 2025	Co-Tech	5-10% hike in processing fee for standard copper foil/HVLP4
Sep 29th, 2025	China Elec Mat. Industry Assoc.	"Recommendation" for an industry-wide increase in processing fees for electronic copper foil: +Rmb2/kg
Sep, 2025	NPC	Single-double digit % across conventional/high-end copper foil product
Oct, 2025	Mitsui Metal	+US\$2/kg (~15% increase) in high-end copper foil price
Mar, 2026	Kingboard	Processing fee +10%
Jul, 2026	Kingboard	Processing fee +Rmb5/kg for products <1.5oz; +Rmb8/kg for products >2oz

Source: Company data, J.P. Morgan Asia Energy Research. Above list not exhaustive.

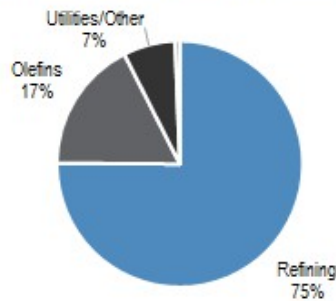
Figure 3: Formosa group key spreads

Key commodities	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	Spot
FPCC (6505 TT)															
Refining margin (\$/bbl)	14.6	4.4	10.9	8.7	10.1	4.4	5.6	7.4	5.8	7.3	8.2	8.6	20.1	39.6	19.5
NCC spread (\$/t)	416	449	301	389	434	433	445	411	434	399	394	308	342	544	375
Coal price (cny/t)	1,135	925	861	962	908	846	846	834	731	637	664	763	707	812	860
FPC (1301 TT)															
ACN spread (\$/t)	182	44	(1)	136	90	149	(24)	50	324	147	143	152	69	156	
PVC spread (\$/t)	456	385	448	344	332	377	386	354	299	327	318	324	322	350	350
HDPE-ethylene (\$/t)	145	150	187	117	88	150	137	123	94	146	116	150	112	125	300
PP-ethylene (\$/t)	67	96	118	111	108	122	98	114	100	187	194	125	73	114	320
PE-naphtha (\$/t)	345	372	318	306	308	339	357	372	351	378	358	331	245	385	472
Ethane price (cents/gal)	25	21	29	22	19	19	16	22	27	24	23	26	24	21	
FCFC (1326 TT)															
PX spread (\$/t)	336	427	423	363	344	354	282	193	203	226	253	254	307	268	377
PTA spread (\$/t)	92	119	87	85	78	88	85	71	80	83	75	64	58	85	100
ABS spread (\$/t)	222	336	299	219	172	222	278	338	269	383	347	345	214	407	463
Phenol spread (\$/t)	61	24	52	103	(58)	(89)	32	58	49	64	71	107	25	66	
NPC (1303 TT)															
MEG (\$/t)	5	0	4	(22)	9	23	59	63	48	63	55	46	(6)	(5)	80
BPA (\$/t)	401	464	468	332	369	397	334	360	369	409	325	310	413	632	
Electronics OPM	10%	3%	2%	4%	-3%	1.5%	2.4%	-1.2%	1.7%	4.0%	3.8%	7.6%	13.1%	20.1%	

Source: IHS, J.P. Morgan. *Note: 2Q26TD refining margin shows Singapore margin versus Dubai crude oil, and does not deduct the April Arab light OSP of \$20/bbl. It is already adjusted for VLCC rates.

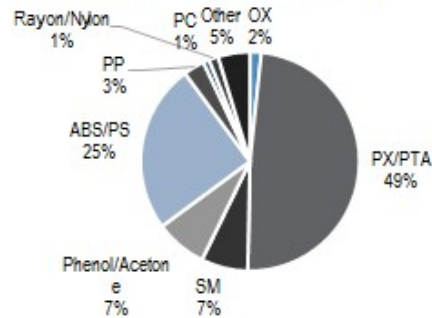
Figure 5: Formosa group 2025 revenue mix

Formosa Petrochemical (6505 TT)



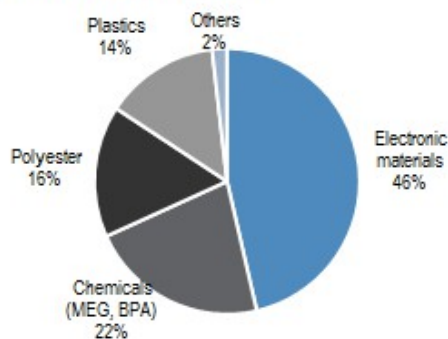
Source: Company data, J.P. Morgan Asia Energy Research

Formosa Chemicals & Fiber (1326 TT)



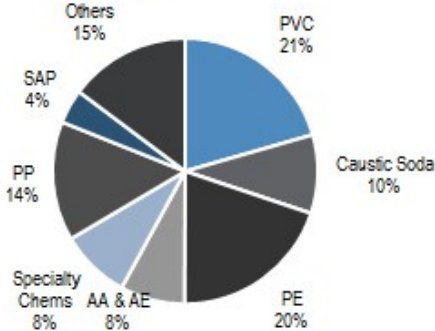
Source: Company data, J.P. Morgan Asia Energy Research

Nan Ya Plastics (1303 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Formosa Plastics (1301 TT)



Source: Company data, J.P. Morgan Asia Energy Research

Source: Company data, J.P. Morgan Asia Energy Research

Related Research

[Asia Energy: Middle East escalation tracker: China PE utilizations recover in June, but apparent oil product demand continues to worsen](#) (16 Jun 2026)

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[Asia chemicals: China anti-involution, Part II: chem capacity restrictions spread to more provinces; Korean government steps in to shut 3.7Mtpa of capacity](#) (22 Aug 2025)

[Formosa Petrochemical Corp: Unplanned outages raise 2026 utilizations to 19-year highs. Hike 2026 GRM forecast, remain OW](#) (20 Nov 2025)

[Taiwan Energy: Turning more positive post a four-year de-rating; upgrade NPC to OW on improved electronic materials earnings outlook; remain OW FPCC](#) (21 Sep 2025)

[Video Replay: Petrochemicals: Taking stock of China “Anti-Involution” and industry/government actions](#) (6 Sep 2025)

Companies Discussed in This Report (all prices in this report as of market close on 09 July 2026, unless otherwise indicated)
Formosa Chemicals and Fibre Corp(1326.TW/NT\$60.00/OW), Formosa Petrochemical Corp(6505.TW/NT\$58.80/OW), Formosa
Plastics Corp(1301.TW/NT\$54.80/OW), Nan Ya Plastics Corp(1303.TW/NT\$181.50/OW)

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Formosa Chemicals and Fibre Corp (1326.TW, 1326 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	UW	55.90	52
13-Jan-25	UW	25.30	22
21-Sep-25	UW	29.00	25
25-Feb-26	OW	44.75	55
12-Apr-26	OW	45.45	60

Formosa Petrochemical Corp (6505.TW, 6505 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 18, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
03-Aug-23	OW	79.60	95
13-Jan-25	OW	32.90	40
21-Sep-25	OW	38.90	42
20-Nov-25	OW	53.50	63
25-Feb-26	OW	52.40	60
12-Apr-26	OW	52.00	65

Formosa Plastics Corp (1301.TW, 1301 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 26, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	N	71.50	79
13-Jan-25	N	31.45	32
21-Sep-25	N	38.40	34
25-Feb-26	OW	48.60	55
12-Apr-26	OW	46.95	60

Nan Ya Plastics Corp (1303.TW, 1303 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Apr-24	UW	58.60	52.5
13-Jan-25	UW	28.30	24
21-Sep-25	OW	39.25	50
20-Nov-25	OW	53.80	70
14-Jan-26	OW	62.20	80
25-Feb-26	OW	90.80	120
12-Apr-26	OW	81.60	125
21-Jun-26	OW	139.00	200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 02, 2001. All share prices are as of market close on the previous business day.

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